IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

In the matter of an appeal by way of Stated Case on a question of law for the opinion of the Court of Appeal under and in terms of Section 11A of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

CA Case No: TAX 23/2022
Tax Appeals Commission No.
TAC/IT (PAYE)/058/2017

Access Engineering PLC,
"Access Towers",
278, Union Place,
Colombo 02.

Appellant

Vs.

The Commissioner General of Inland Revenue,
Department of Inland Revenue,
Sir Chittampalam A. Gardiner Mawatha,
Colombo 02.

Respondent

Before: **M.C.B.S. Morais J.**

&

Annalingam PremashankerJ.

Counsel:	Dr. Shivaji Felix, PC with Nivantha Satharasinghe, Sajith Nawaratne and A. Obeysekara instructed by Sanath Wijewardane for the Appellant. Chaya Sri Nammuni, DSG for the Respondent.
Written Submissions:	By the Appellant – on 04.03.2026, 14.08.2023 By the Respondent – on 22.09.2013, 01.09.2023
Argued on:	28.10.2025
Decided On:	**29.10.2026**

JUDGMENT

M.C.B.S. Morais J.

This is an appeal by way of case stated against the determination of the Tax Appeals Commission (TAC) dated 7th of April 2022, in the case of TAC/IT/(PAYE)058/2017.

This appeal is filed under Section 11A(1) of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

The tax in dispute is against the assessment made for the taxable period 2011/2012 and the disputed income in issue is Rs. 634,686,195.00 with a penalty of Rs.317,343,097.00.

FACTUAL BACKGROUND

The Access Engineering PLC (hereinafter will be referred to as the Appellant) is a Private limited liability company incorporated and domiciled in Sri Lanka. The principal business activity of the Appellant is engaging in the construction activities.

The Appellant has submitted the return for the taxable period 2011/2012, which were rejected by the Assistant Commissioner of Inland Revenue by the intimation letter dated 30th of December 2014 and assessed the PAYE tax liability of the Appellant and issued an assessment. Accordingly, the Assessor has issued the Notice of Assessment dated 27th of March 2015 for the reasons set out in the intimation letter.

The Appellant being aggrieved by the decision of the Assessor, made an appeal to the Commissioner General of Inland Revenue (hereinafter will be referred to as the Respondent). The Respondent in his determination dated 20th of March 2017 determined the appeal by upholding the assessment issued by the Assistant Commissioner. The Appellant being dissatisfied with the said determination of the Respondent, made an appeal to the Tax Appeals Commission (TAC). The TAC after considering the submissions made by both parties made the determination dated 7th of April 2022 in favor of the Respondent.

Being dissatisfied with the said determination, the Appellant has requested the TAC to cause a Case Stated to the Court of Appeal on the following Questions of Law.

I. *"Did the Tax Appeals Commission err in law when it concluded that the Appellant was liable to deduct PAYE tax from the remuneration of its employees on the premise that shares gifted by the Appellant's directors, out of their own personal shareholding in the company, constituted a profit from employment received from the Appellant?*

II. *Did the Commissioner General of Inland Revenue err in law when valuing the shares received by its employees, gifted out of the personal shareholdings if its directors, when determining the Appellant's PAYE Tax liability?*

III. *Is section 114 of the Inland Revenue Act, No. 10 of 2006 (as amended), applicable to profits or benefits from employment not received or derived from the employer?*

IV. *Did the Respondent err in law when he concluded that the Assessor/Assistant Commissioner/Deputy Commissioner was entitled to make an assessment under section 125 of the Inland Revenue Act, No. 10 of 2006 (as amended), in circumstances where no taxable remuneration was paid by the employer to its employees?*

V. *Did the Respondent err in law when he conclude that the Appellant was obliged to deduct PAYE tax in respect of 38 persons who were not employees of the Appellant?*

VI. *Did the Respondent err in law when he decided to increase the assessment and thereby widen the scope of the assessment?*

VII. *In view of the facts and circumstances of the case did the Tax Appeals Commission err in law in arriving at the conclusion that it did?"*

The substantive Questions of Law No. I, II, and V are in relation to the applicability of PAYE (Pay-as-you-Earn) tax from Appellant's employees. Therefore, I shall take all three questions together and address them.

The Question of Law No. III is in relation to the applicability of Section 114 of the Inland Revenue Act No 10. of 2006 as amended (IRA 2006) and the Question of Law No. IV is in relation to the power of Assessor to make an assessment under section 125 of the IRA 2006. Since these two questions are based upon the substantive issues of the case, I shall discuss them together.

Before I move into the substantive issues of the case, it is pertinent to understand that the underlying transaction in question as well as the share division.

On 25th of May 2011, the main three shareholders of the Appellant company; namely Mr. Sumal Perera, Mr. Ranjan Gomez and Mr. Christoper Joshua have transferred their shares of 120,000,000 to the employees of the Appellant Company and the non-employees of the company who were employed by the companies within the group in the following manner.

Transferor	**Transferee**	**Relationship with the Transferor**	**No. of Shares**	**Amount**
Mr. Sumal Perera Mr. Ranjan Gomez Mr. Christoper Joshua	920 employees of Access Engineering Ltd	Employee	114,948,560	Rs.114,948,560
	38 employees of companies within the Group	Non- Employee	5,051,440	Rs.5,051,440

Now, that I have laid down the share transfer in the above manner, I will move on to discuss the substantive issues in question.

Questions of Law No. I, II and IV

It is the contention of the Appellant that the PAYE tax for the taxable periods 2011/2012 was duly paid. However, in the Notice of Assessment dated 27th of March 2015 and received on 3rd of March 2015, the Assessor has made a deduction in respect of PAYE tax and imposed a penalty for late payment. The Appellant therefore contends that there was no outstanding PAYE liability and, accordingly, no further tax was payable.

Before considering the respective contentions of the parties, it is necessary to understand the nature of the transaction in question.

The Board of Directors of the Appellant company transferred certain shares owned by the shareholders of the Appellant to certain individuals, whom the Appellant claims were not employees of the company.

It is therefore the position of the Appellant that the transfer was not made by the Appellant and, accordingly, does not give rise to any liability for PAYE tax. The Appellant further contends that it is required by law to deduct PAYE tax only where remuneration is provided by the Appellant.

On the other hand, the Respondent contends that the shares were transferred among the family members of the main shareholders and to employees of the companies within the Access Group. According to the Respondent, the three main shareholders, who held 100% of the shares in the company, transferred 114,948,560 shares to 920 employees and a further 5,051,440 shares to employees of other companies within the Access Group. Accordingly, the Assessor concluded that a total of 118,000,000 shares transferred to employees had not been declared in the Annual Declaration of Employer PAYE for the year of assessment 2011/2012, notwithstanding that the share transfer applications had been submitted to the Inland Revenue Department.

The Respondent therefore contends that the transaction falls squarely within the scope of sections 4(1)(a)(ii) and 4(1)(e) of the Inland Revenue Act No. 10 of 2006 and is accordingly subject to PAYE tax.

The principal question before this Court is whether the transfer of shares by the Directors of the Appellant to its employees, by way of gift, is subject to PAYE tax under the Inland Revenue Act No. 10 of 2006.

Before considering this question, I find it appropriate to briefly examine the nature of PAYE tax and the manner in which it is imposed.

The Pay-As-You-Earn (PAYE) system was introduced in Sri Lanka in 1971 as a mechanism for collecting income tax on employment income at the time remuneration was paid. Under the Inland Revenue Act No. 10 of 2006, PAYE (Pay-As-You-Earn) was provided for under section 114, which required an employer to deduct income tax from an employee's employment income at the time the remuneration was paid. The provision was designed to facilitate the collection of income tax at source, rather than requiring the employee to pay the full liability at the end of the year. The amount to be deducted was determined in accordance with tax tables specified by the Commissioner General of Inland Revenue, taking into account the employee's remuneration and the applicable income-tax rates and reliefs. Section 114 was subsequently amended during the period in which the 2006 Act remained in force, and the Act itself was amended by, among others, the Inland Revenue (Amendment) Acts Nos. 10 of 2007, 9 of 2008 and 19 of 2009.

For reference, I shall reproduce the section 114 of the IRA 2006 below;

> *"114.*
>
> > *(1)* ***Every employer shall deduct income tax in accordance with the provisions of this Chapter from the remuneration of his employees for each pay period at the time of payment of such remuneration.***
> >
> > *(2) Income tax deducted under subsection (1) from the remuneration of an employee and remitted to the Commissioner General as provided in this Chapter, shall be deemed to have been paid by such employee to the Commissioner-General on the date on which such deduction was made.*
>
> *For the purpose of this section, any person who receives remuneration in cash or kind from an employer is deemed to be an employee of such employer."[emphasis added]*

Accordingly to the above provision, an employer is legally required to deduct the applicable income tax from an employee's remuneration each time the remuneration is paid, in cash or in other form. The tax deducted by the employer is then remitted to the Commissioner-

General, and once deducted, it is legally treated as tax paid by the employee on the date of deduction. The section also adopts a broad definition of "employee", covering any person who receives remuneration, whether in cash or in any kind from an employer. Thus, the provision ensures that the employee's income-tax liability is collected through the employer**,** rather than being paid separately by the employee after receiving the remuneration.

Accordingly, it is the contention of the Respondent that the transfer of shares by the Directors of the Appellant falls within the scope of sections 4(1)(a)(ii) and 4(1)(e) of the Inland Revenue Act No. 10 of 2006. The Respondent further contends that the transfer cannot be regarded as a gift, as claimed by the Appellant, but constitutes a benefit provided to the employees of the Appellant in consideration of the services rendered by them to the Company. Accordingly, the Respondent's position is that the shares transferred by the Directors to the employees constitute a benefit or commission within the meaning of the Inland Revenue Act No. 10 of 2006 and, consequently, form part of the employees' taxable remuneration and are subject to PAYE tax.

The section 4 of the IRA 2006 elaborates on Profits from employment and section 4(1)(e) discuses about the transfer of shares extensively in the following manner;

"4. (1) Profits from any employment include—

(a) (ii) the value of any benefits to the employee or to his spouse, child or parent, including the value of any holiday warrant or passage;"

(e) the value "at the time of its disposal, where such disposal takes place prior to April 1, 2007, of any share of a company received as a benefit from the employer or on behalf of the employer at no cost or at a price which is less than the prevailing market value of such share of that company, whether directly or through a share option scheme. The value at the time of its disposal of such share shall be the surplus over the cost of acquisition of such share—

(i) in the case of a sale, the sale price or the market value of such share as at the date of sale, whichever is higher;

(ii) in the case of disposal otherwise than by way of sale, the market value of such share as at the date of disposal;

(iii) in the case of an employee ceasing to be in the employment of such employer without selling or disposing of such share, the market value as at the last date of his employment with such employer, which date shall be deemed to be the date of the disposal of such share:

Provided however, in the event of the death of such employee during his period of employment with such employer, the value of such share shall be zero."

Section 4 of the Inland Revenue Act No. 10 of 2006 identifies the types of receipts which constitute profits from employment for income-tax purposes. Section 4(1)(a)(ii) adopts a broad approach by including the value of any benefit provided to an employee by reason of his employment. In addition, section 4(1)(e) specifically addresses the treatment of shares provided to an employee as a benefit by the employer or on behalf of the employer. Where an employee receives shares at no cost or at a price below their prevailing market value, the provision treats the benefit arising from those shares as employment income.

Accordingly, having regard to the above provision, the transfer of shares to an employee may constitute a benefit arising from employment where the transfer is made in consideration of, or in connection with, the employee's services to the company and falls within the scope of section 4(1)(e) of the Inland Revenue Act No. 10 of 2006.

The next question that arises for determination is therefore whether the transfer of the shares in the present case constituted a gift simpliciter, as contended by the Appellant, or whether it was provided as an incentive, reward or benefit in recognition of the services rendered by the employees to the Company.

Although the Appellant has consistently maintained that the said transfer of shares did not constitute remuneration or an employment-related benefit, but was instead a gift, the nature of the transaction must be determined having regard to the circumstances surrounding the transfer and the intention of the parties. In this regard, it is significant to consider the letter dated 15th of June 2011, which was signed by all three shareholders of the Company, namely, Mr. Sumal Perera, Mr. Ranjan Gomez and Mr. Christopher Joshua.

The contents of the said letter are material in determining the purpose for which the shares were transferred. The letter expressly states that the shares were being transferred in appreciation of the employees' commitment, hard work and contribution to the Company.



The above squared portion of the letter clearly express the said transaction is linked to the employees' commitment, efforts and contributions to the Company. This contemporaneous documentary evidence consequently supports the inference that the transfer of shares was made in recognition of the services rendered by the employees and therefore it can be considered as an employment-related benefit. Accordingly, notwithstanding the Appellant's position that the said transfer is a transaction of gift, the substance and purpose of the transfer, indicates that the shares were provided as a benefit arising from the employees' employment.

In this regard it is pertinent to understand the observations made by E.Goonerane in 'Income Tax in Sri Lanka' (2nd edn 2009, p.103); where the distinction between a gift and a profit from employment is discussed.

> *"**A reward for past services does not acquire the character of a gift because it was granted without a legal obligation. A voluntary benefit given to an employee on retirement will be profits from employment if the consideration for the benefit is past service.** The difference between periodic payment made for present services and a single payment for past services is that the first is recurrent and the other non-recurrent. The occasion or time a payment is made is not conclusive of the nature of the payment. There is in every gift a close relationship between the donor and donee. The parties maybe master and servant. The employer-employee relationship maybe evidence that a benefit given by the employer was remuneration for service and equally it may be evidence that it was a gift. There is no onus on an employee to prove that the sum of money or benefit given to him by his employer or some other person was a gift or non-taxable receipt of some other description. If the claim is made that it is a non-taxable receipt the onus is on the assessor to prove that the receipt was a profit from employment. A donor selects the objects of his bounty and if he elects in favour of an employee the relationship does not change the nature of the transaction. If the transaction is one that could have been entered into between parties who are not master and servant the existence of a contract of service is not by itself sufficient to make the benefit a profit from employment. 66 When the benefit given by the employer is restricted to persons in his service the benefit comes to the employee because of the position held by him. The position held by the employee qualifies him*

to receive the benefit but does not determine the nature of the benefit as profits or income. The parties to a transaction may be bound to one another as master and servant but the transaction may be unconnected with the conditions of service. The aid given by an employer to an employee out of a fund established by him to relieve persons in distress is not profits from employment. If such aid is given by an employer under a scheme which he restricts to his employees the other circumstances must be examined to determine whether the aid is provided as remuneration or an act of kindness. ***The test laid down in several cases to distinguish profits of employment from a gift is to find out whether the benefit was given in consideration of service past or present. The test is not decisive****. There is no rule that a benefit given to an employee can be profits of employment only if it is referable to some kind of service. Profits or income from a source include accruals.* ***When a benefit is attached to an office it is profit from employment of the holder of the office. And it is not necessary to find out whether it is referable to some service.****" [emphasis added]*

The author observes that a reward for past services does not acquire the character of a gift merely because it was granted without a legal obligation, and that a voluntary benefit provided to an employee may constitute profits from employment where the benefit is given in consideration of past or present services.

Therefore, the main aspect that needs to be highlighted upon in the transaction in question is that the said transfer is made to the employees as a consideration for the past services offered to the company and not otherwise. This concept has also been considered in the cases of ***Sutherland V. Commissioner of Income Tax***, (Sri Lanka Tax Cases Vol IV pg.446) and in ***Kanagasabapathy V.CGIR*** (Sri Lanka Tax Cases Vol IV pg.140).

When applying these principles to the present case, the material consideration is not merely the fact that the recipients were employees of the Appellant, but the purpose and circumstances in which the shares were transferred. As stated in the letter dated 15th of June 2011, signed by all three shareholders of the Company, which expressly records that the shares were transferred in appreciation of the employees' commitment, hard work and contribution to the Company. The contents of the document establish a direct connection

between the transfer of the shares and the services and contribution of the employees to the Company. The benefit was therefore not shown to have been conferred independently of the employment relationship, but rather in recognition of the employees' past services and contribution to the Company.

In these circumstances, I am of the view that the transfer of shares cannot properly be characterised as a mere gift. The surrounding circumstances and the materials presented before this court indicate that the shares were transferred as an employment-related benefit arising from the employees' services.

Now, that I have analyzed the issue at hand in the above manner, it is pertinent to draw parallels with the transaction at hand. When considering the transaction in issue, it can be clearly seen that major portion of the transfer was given to the immediate employees of the Appellant Company and the rest were transferred to the non-employees, who were a part of the Group. However, when considering the Law in relation to PAYE tax it should be noted that the Employer who is acting as an agent to collect the PAYE tax from its employees is required to remit the same to the Department as required by law. Thereby, the employee in question has to be in the salary scale of the employer for the said procedure to be adopted. However, in the present matter, shares worth of Rs.5,051,440 have been transferred to the non- employees of the Appellant Company who formed part of the companies in the Group structure.

Therefore, I am of the view that the transfer of shares made to the 38 non-employees in the present matter is considered as a gift since there has been no employer-employee relationship between the transferor and the transferee. Consequently, this court is of the view that the Appellant should duly pay PAYE tax on the 920 employees of the Appellant company, since the transaction does not amount to a gift.

Accordingly, I am of the view that the Tax Appeals Commission did not err in determining that the transfer of shares by the Directors of the Appellant to its employees did not constitute a benefit arising from employment and was therefore liable to PAYE tax under section 114 of the Inland Revenue Act No. 10 of 2006. However, the decision of the TAC needs to be

amended in the manner where the Appellant is required to submit the PAYE tax on the 920 employees of the company and not for the 38 non-employees, who were not a part of the company.

Although the receipt of shares may give rise to a personal income tax liability on the part of those 38 persons, such liability, if any is their own and does not impose an obligation on the Appellant to deduct and remit PAYE tax in respect of them.

For the foregoing reasons, I answer the Questions of Law No. I and II in the Negative, and the Question of Law No. V in the Affirmative.

Questions of Law No. III and IV

> *III. Is section 114 of the Inland Revenue Act, No. 10 of 2006 (as amended), applicable to profits or benefits from employment not received or derived from the employer?*

The Appellant contends that the transfer of shares to its employees was not made by the Appellant Company but by its Directors in their individual capacity and, therefore, the transfer cannot constitute profits from the employment of the recipients or give rise to any PAYE liability on the part of the Appellant.

This contention has already been considered in determining the Questions of Law Nos. I, II and V, particularly in relation to the nature of the share transfer and its character as an employment-related benefit. In view of the findings made in respect of those questions, I do not consider it necessary to examine this contention at length

Although the shares were transferred directly by the Directors/shareholders, they did so in their capacity as Directors of the Appellant Company. Accordingly, the fact that the shares were transferred directly by them does not, by itself, alter the character of the benefit received

by the employees, particularly where the transfer was made in recognition of their services and contribution to the Company.

Accordingly, for the reasons set out above, I answer the Question of Law No. III in the Negative**.**

> *IV. Did the Respondent err in law when he concluded that the Assessor/Assistant Commissioner/Deputy Commissioner was entitled to make an assessment under section 125 of the Inland Revenue Act, No. 10 of 2006 (as amended), in circumstances where no taxable remuneration was paid by the employer to its employees?*

It is the contention of the Appellant that the Assessor is not entitled to invoke section 125 of the IRA 2006, since the shares were given to the employees as a gift and therefore it is not a remuneration to be considered for the PAYE tax.

> *"125. (1) Where an employer who is required under the provisions of this Chapter to deduct income tax from the remuneration paid to his employees–*
>
> ***(a) fails to deduct the whole or any part of the income tax for any pay period;***
>
> *(b) fails remit to the Commissioner-General the whole or any part of the income tax deducted for any pay period; or*
>
> *(c) fails to furnish any monthly or annual declaration under section 120,*
>
> ***An Assessor or Assistant Commissioner may at any time during the year of assessment within which that pay period falls or within three years from the end of that year of assessment, assess the amount if income tax or the additional amount of income tax which such employer in the opinion of the Assessor or Assistant Commissioner should have deducted and paid to the Commissioner-General for such pay period, and shall, by notice in writing***

require such employer to pay such amount forthwith together with such amount as may be due under section 127. *"[emphasis added]*

Section 125 empowers an Assessor or Assistant Commissioner, to assess the amount of income tax, or the additional amount of income tax, which in his opinion ought to have been deducted and remitted to the Commissioner-General, when an employer has failed to deduct the whole or any part of the income tax required to be deducted from the remuneration of its employees. The provision therefore operates where there has been a failure by an employer to comply with its obligation to deduct and remit PAYE in respect of taxable remuneration.

In the present matter, it is apparent that the Appellant has failed to declare the said transaction when disposing their PAYE tax obligation. Therefore, the Assessor in such a circumstance is empowered by law to assess the tax payable and send notice accordingly.

Furthermore, in determining Questions of Law Nos. I, II and V, I have already considered whether the transfer of shares constituted a gift or an employment-related benefit and have concluded that the shares constituted a benefit arising from the employees' employment and were therefore liable to PAYE tax under the Inland Revenue Act No. 10 of 2006. Consequently, the Appellant's contention that section 125 cannot be invoked because the shares were gifts, cannot be sustained.

In these circumstances, once the share benefit is found to constitute taxable remuneration and the employer has failed to deduct and remit the corresponding PAYE, the Assessor is empowered to act under section 125 of the IRA 2006 and assess the amount of income tax which in his opinion, ought to have been deducted and remitted in respect of the relevant pay periods.

Accordingly, I answer Question of Law No. IV in the Negative.

Having answered the Questions of Law No. I, II , III, IV and V in the above manner, I find no reason to address the rest of the questions raised by the Appellant.

CONCLUSION

When considering the facts and the circumstances of the case, in line with the materials presented before this court, I am of the considered view that the Questions of law formulated by the Appellant should be answered as set out below.

Question of law I – Negative

Question of law II– Negative

Question of law III- Negative

Question of law IV – Negative

Question of law V– Affirmative

Question of law VI– need not be considered

Question of law VII– need not be considered

This appeal is partially allowed.

Accordingly, the determination of the TAC dated 7th of April 2022 shall sustain with the required amendment that the Appellant is required to make payment of PAYE tax only on the 920 employees of the Appellant Company.

The Registrar is directed to issue a copy of this judgment to the Secretary of the Tax Appeals Commission.

Judge of the Court of Appeal

Annalingam Premashanker J.

I agree

Judge of the Court of Appeal